

What I'm seeing is, like I said, a 50 billion company that's got a bubble built on top of it, right? And that's why I don't think that you're looking at some giant market meltdown.

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We are back with another edition of the Daily Dots and I am not joined as always by the Brain Trust himself, Mr. Chase Taylor. Chase is out for the day. So I'm rolling solo. Been a while since we've done that. As a matter of fact, my wife, I was just talking to my wife last night and she was asking me if I'd missed doing it solo and I was like, no, it's a lot more fun, a lot more interesting, at least for me, doing it with Chase. And I have a hard time believing there's anybody out there that disagrees that the two of us are better than the one of me, especially when it comes to the

brain trusty stuff. But anyway, I'm going to do my best to fill it in. We're going a little bit earlier than normal today because of, well, two important reasons. And if you look closely at my forehead, you'll see one of them. That is a backwards hat suntan that you get from sitting in the bleachers at Little League games. And we had a tough one yesterday. My son's team is

in the state tournament and just an incredible team. They were rolling through undefeated. And then they had an 11-year-old game yesterday where, you know, pregame you're watching them and they look

like they all stayed up till four in the morning drinking, you know? And it's just one of those days and they just got waxed. So anyway, they got one game left today, but our club golf tournament starts today as well. So anyway, all that means I've got to record early. So these numbers I'm giving you are not going to be representative of the close in this market. Who knows where you'll be by the time it closes, whatever. But here we go. S&P up 0.34 on the day. NASDAQ up 0.55. Small caps. Russell 2000, up 0.48. Oil down half a percent naturally because we fully

reimposed the blockade on Iran and we're launching more airstrikes. So naturally, oil would go down, of course. Gold steady, kind of traded, kind of whipped around today. Okay. It looks to me like gold is really trying to make a floor here at 4,000. I am certainly not the technical wizard. I leave that up to the brain trust, which would make a lot of sense. The only, now guys, this is just pure speculation on my part. You know, that's another thing too. Just a pet peeve of mine. When people get directional calls, especially directional calls,

like with precision, meaning, well, gold's not going to break below 4,000 here, it's going to hold. And if it does hold, whoever says that gets, oh man, he's right, he's right. Look, directionality matters. But when we're talking about top, and we've said this a million times, we're talking about tops and bottoms. Picking those is just pure luck. It just is. And if you get it right, you get it right. There's reasons to be more confident at times, but this is all just a percentages game. Now, getting directionality of things,

I think, is, I don't think, I know as a talent and a skill that can be developed over time, and you can have a pretty high win rate, you know, getting general directionality, especially over a period of time, correct. But anyway, all that to say is,

even on our way up, crossing over 4,000, crossing over 4,500, then over 5,000 with gold,

I always had this feeling that we had to come back and retest 3,500 at some point. And I'd have to go back and look at the stock chart. I don't know why, I can't remember why that number stuck out in my mind. But for those of you that watched the show for a while, you know that even last year, I was saying, I think we're going to have to get a retest to 3,500. Like I said, I'd have to go back to my notes and really look at why I thought that. But I wouldn't be surprised if you see it sell off to 3,500.

I think that's probably going to depend on other things. It's hard for me to really envision that in the current setup without oil going significantly higher. But as we all know, anything can happen. But that's certainly one to keep a watch on. If you make that floor there, I mean, you've retested that level several times, you've barely violated it and then quickly gotten back above. But it is an interesting tug of war here. Silver, 57.99, down about 1.8% of the session. Copper trading relatively flat at 6.37. Platinum up 1.47% at 16.66. Palladium basically flat,

down 0.28, 13.04. Let's see where we had a bonds yield on the 10 year down slightly, but you know, still four and a half, four, five, five. So not a lot of crazy stuff going on today. Okay. Big moves. One of the ones that we didn't cover. And I think it's interesting you're seeing some downward pressure on Intel. Kind of seems like a sympathetic trade. But IBM,

I haven't read through it in details at all. We didn't own IBM for a variety of reasons. We weren't interested in it. I've got some, one of our analysts, well, you guys know Jamie. Jamie's taking a look at IBM right now. Just because we'll look at anything, especially something that gets rinsed for that bigger percentage. Looking at the setup though on the valuation that still has, even after it's getting whipped, I'm shocked if we do anything there. But it kind of, it pivots back to the conversation that we were having yesterday. And that's going to lead us into

something that Warren Buffett said recently that I wanted to, or it came out today that I wanted to go over. But yesterday, I was saying that Chase said probably like a month ago, right when we put the, you know, micron was over 1200, you know, right before the SpaceX IP, you know, when we were at our peak peekiness moment a few months back, or a few weeks, three, four weeks back.

And Chase said that, you know, this might be the top being in.

For a lot of this stuff, for, you know, a lot of these DRAM plays and all that kind of stuff,

I will not be surprised if that's the case. And a lot of these things are starting to, it's really starting to look like that to me. Why? Because you, I mean, we all know about the stock moves and how crazy it is, now unsustainable it is. But I think you got to come to the, you got to come to moments when you look at something and you go, okay, I understand that you got a big runway ahead of you. You know, I understand that your forecasts look really good. But at the end of the day, you're a produce stand, right? And you're a produce stand. And

look, and I know, obviously, a lot of these chip makers, DRAM makers, all these guys, you know, it's obviously a lot more complicated than produce. I get that. But memory is a commodity.

And we've said that a million times, it just is. And when you see these companies exploding in market cap and valuation for effectively what are sympathetic reasons,

even in a crazy market like this, that can only go on so long, right? And you reach these moments of just max insanity. And I just, I think you're there in so many names. And again, I don't see a crash. I see very much the crash potential in a lot of those names. It's not going to help the market, but it's not going to create another 2008-2009. Could the market's biggest blind spots put your retirement at risk? Investors and advisors are focused on AI, inflation, and conflicting headlines. But what if the real risk to your portfolio is something the market isn't seeing?

You can join Bulwark Capital, Zach Abraham, for his free market blind spot webinar, July 23, at 3.30 Pacific. At our webinar, we'll expose blind spots investors may be overlooking, threats to your portfolio in the months ahead, plus a full reveal of how Bulwark is focused on risk management, always looking for opportunities to lower your risk, lower your cost, and give your retirement as much upside as possible. Have your questions answered

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any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ.

Do you get what I'm saying? They still like, I'm not sitting there going, it's all fritz fraud. They're going away. It's not like that. And in that way, I think that this quote unquote bubble is different than previous bubbles. I don't see worthless companies trading, and I'm sure there's examples out there, but I don't see worthless companies trading with 30 billion dollar valuations or 100 billion dollar valuations. What I do see a lot of is 30 to 100 billion dollar companies trading at half a trillion dollar valuation, 300 billion.

And so like in that way, I think it's more of like a classic bubble, meaning, well, it's not really because you think about like tulips and even .com had more to do with this and even crypto had more to do. Where you have something that is relatively valueless, right? And there are things in that sector that have value. There are things that are in that route. Again, the .com bubble being the perfect example. Out of it, we got Microsoft and we got so many Cisco and so many of these real companies that did great things. Amazon, right?

But you also had a bunch of companies that were like .com. There were regular companies that rode the wave that were effectively worthless that ended up going to zero. I don't see a lot of that and that's not what I'm

seeing. What I'm seeing is, like I said, a 50 billion dollar company that's got a bubble built on top of it, right? And that's why I don't think that you're looking at some giant market meltdown. What I do think you're probably looking at is a bit of a microcosm and a market that I think will be very hard pressed to move forward in a manner that investors

have become accustomed to, especially over the last 15 years, especially over the last 10, especially over the last five. And like I said, it's not because it's all trash. It's because, you know, think of valuations and prices of stocks as expectations and they are, right? The current stock price embeds the current reality and the expectations for the future. And when the expectations get this large, at the very least, you should expect weaker forward returns. And this goes into that conversation that I was bringing up that Buffett,

they interviewed Buffett today or yesterday or whatever, but it was aired today or came out today and I was reading the transcript from CNBC today. And Buffett said, it's hard to make money in a market or it's hard to find good valuations in a market where everybody is gambling. And it didn't surprise me to hear him say that at all. I think any serious market watcher, spectator, operator looks at this market, I think it's really hard to come to any other conclusion. And as a matter of fact, it's an assertion that we have made as well. Why do I say

that? Because when you're investing in things that are trading at 30, 40, 50, 60, 100 times revenue, that's not an investment. It's a speculation. It's a bet. It's a gamble. By definition, doesn't make it wrong. Doesn't mean you can't make money. Speculators make a ton of money.

Probably 95% of people watching this podcast have read it or know about it, but go read *Reminiscence of a Stock Operator*. That was all speculation. There's a lot. You could look at a guy like Paul Tudor Jones and say that he's a trader slash speculator and he wouldn't be offended by that. But what you've got is you've got people speculating and gambling thinking they're investing. And you're not. Investing is all about buying something at a discounted price based on its future expectations. Well, when expectations are this high, you're gambling. And why? Because

history is replete with valuations that high. And what do they tell us? 98%, 99% of the time, companies don't live up to those valuations. So if you're betting that this time is different, you are betting, you are gambling, odds are not on your side. Investing odds are supposed to be on your side. If you're odds in investing, we're similar to the casino. Nobody would do it. It's not as fun. You invest because your odds are better. Odds are on your side. So if you're investing in a style that is reaped losses 95% to 100% of the time, you're not only

gambling, you're betting the house on black. And you might win. But that's, and now here, and here's, and Chase and I were talking about this yesterday, and I just think that if I come across preaching a little bit on this, I am because I think that if you run your own money, or even if you're a retail investor, not even if you're, but if you get to run your own money, or if you're running a hedge fund, right, where you have discretion, and it's accredited investors, and it's an appropriate part of their portfolio, right? Meet all those things. I think you have a huge advantage right

now, especially if you're running your own money. And why? Because, look, when you have a market that is trading like this, that is trading like a casino, the hot money is going to follow the sexiest thing, right? And that means it's going to leave the stuff that isn't. Now, the problem with that,

or I shouldn't say that, the benefit of that is that you're going to get opportunities at things that are at prices that they shouldn't be, right? When you have things priced way too high, there's going to be stuff that's on the other end of that. And you're going to have incredible opportunities. We were talking about yesterday, like the ability during all of this, despite the MOU and everything, to buy oil in the 60s. And like I said yesterday, biggest mistake we made is not keeping enough dry powder, not thinking that the market could be that dumb, not push it that low.

And in my opinion, right there, that's that classic example, like to be like an inverse speculator, right? To be a speculator that's betting on things getting irrationally cheap for the same reasons that people are betting on things getting irrationally expensive, right? Because that's, if you're out there buying SpaceX right now, if you're out there buying Palantir right now, if you're out there buying Sky, or Hynix, SkyNet, whatever it's called, the

Korean chip maker. Hynix, isn't that what it is? Hynix, SkyNet, something like that.

If you're buying those, that's what you're betting. You're betting on increased irrational pricing.

So what I'd say is flip around, do the other thing. Look for increased irrational, or excuse me, decreased irrational pricing. Look for it on the other side of it. Now, why do I, and is that what we're doing? Yes. But why do I think that you've got an individual advantage? Because look, buying those things that are irrationally cheap, I think it's going to take longer than normal for those to get right priced. I think you will experience more volatility than you would normally holding those things. I think it's going to be abnormally painful is what I should say.

I think it's going to be abnormally painful. I think you're going to deal with an abnormal amount of volatility. But the advantage you've got, and this is why I said retail investors, because you get to decide the amount of volatility you want to live with.

And you guys know this, we manage just over a billion dollars of retail money.

And the end results for our clients are the most important part. But when you are managing retirement money, that money is a source of income for your clients. The volatility, the end return is the most important thing, but the path matters. Why? Because they're taking income that whole time. For instance, you don't want, even if you had, and I could walk you guys through all the math, but let's say you had a portfolio that over the next 10 years, you knew net of fees would outperform the S&P by an annualized rate of return of 3% a year.

Depending on the volatility and the path of that portfolio, even if you knew that's what would happen, it may, it will probably, and let's say you had to get that 3%, you had to have a volatility that was 40 to 50% above the S&P 500. If they're taking income from that portfolio, I could run through the math, but I guarantee you the end result will be they will end up significantly worse off than have they just been in the S&P over that period

of time. Why? Because every 30, 40, 50% drawdown, they continue to pull money out. And that money isn't there for

the bounce back. So we also have to manage volatility. That's why I couldn't make 25% of our portfolio oil in the 60s. Couldn't do it. Would we have done that? Had we been just running our own money? Did we do it in our PAs? I didn't. My PAs is the value portfolio. I don't have a moral issue with that. As long as your, I think your PA, your personal account needs to very much resemble your value portfolio. That's kind of the way I did in the beginning. But what I found was, you know, I'm obviously first priority would be the value portfolio. That's what my income is.

That's when my clients are in. But, you know, then I'd flip and go look at my PAs and I'd start thinking about it separately. And I just went, I don't want this. I want to be of one mind, right? I don't want to be of a split mind. So all of my personal money, all of my kids' money, everything is invested in the fund that I manage. But in my own PA, mentally, I know Chase's PA was probably 50% oil. So you're going to get these opportunities. And the cost of admission to these, the cost to see the show, the cost to reap the whirlwind of those choices, I think it's just

going to be time and volatility. But if you're willing to do that, you know, like gold stocks, perfect example. And look, like I said, the curse and blessing of doing a show like this is that the history is there for anybody that wants to go back and check it. You get fact checked, right? There's nowhere to hide. You can go back and check what we said. But year and a half, two years ago, we're just sitting there going, look, on a fundamental basis. Now at the time, remember to say no, no, on gold, you'll outperform the gold miners. Miners are a horrible business.

Nobody wants it, all that kind of stuff. And you guys, if you remember me, you'll remember me saying, and I've said it multiple times over the course of doing this and the radio for the last nine and a half years or 10 years, whatever it has been now, every once in a while, you get into these scenarios where the last reason to not buy a stock or a sector is the acknowledgement that their profits are probably going to inflect higher, but nobody will want the company. Whenever I hear that, I jump in with both feet. And I'm sure at some point that will prove not

to be correct. I've just never seen it. And that's always been kind of the last whistle blow of the train to get on before she leaves the deal. Now, was it fun holding them all of that time, especially in the first three to six months of the trade? No. Other things were running and see the price of gold go up. There were days we were watching gold go up and miners down. And there are so many guys, you know, spiking the football, I told you, go, and then last year, the sector influx, what 160% higher. So if you've got this, and remember,

it wasn't 160% because you picked a hot market, it was 160% gain. And that's sort of what it took to get the prices of those stocks into the realm of reality based on the earnings that they were sitting on. So if you think gold can hang out between 3000 and 4500, they're still ridiculously cheap. It hasn't been fun to own them for the last few months. But I think that's a perfect example. And people are like, oh, you won't be able to keep up with the market. That's not true. I mean, especially like the last two years, we've smoked the market. We've doubled it up.

Now, that's two years. We had a market got us by 5%, 6% in 2014, or excuse me, 24. So we've had our years. We got it in 2022. It got us in 2023. Back and forth you go. But I've got buddies that are basically doing what we're doing, but doing it in a hedge fund form, doing it with their own money and not having to manage the volatility. And they've crushed the market over the last 16 years. I mean, several guys that I know. And again, we're all doing similar things. They're just doing it in a way where they're juicing it up with derivatives, options, things like that,

taking much larger positions. Again, they don't have to manage volatility.

And I think in most markets managing volatility to a certain degree, you can't be completely focused or you chew up your returns. But I think that's usually a good idea. I think it's a responsible thing to do. When you get in a market like this, though, especially if you're buying value, if you're buying something cheap, if you know how to break down a company and you're buying something cheap, I think a lot of guys like Buffett, I think the frustration is, is nothing that's big enough for them to buy is inexpensive. I mean, think about it. You're looking at a company

like Intel, right? Buffett's never been a big tech guy. But you look at what that trades for, and you'd normally look at a company like Intel. And if a guy like Buffett has got tech exposure, you'd expect to see it in a company like IBM and Intel, right? Well, then you go look at the valuation, and you're like, Buffett's not going to buy that. But I just can't emphasize that enough that there's very few times, I think most of the time, doing what we do in the manner in which we do it actually gives us an advantage over smaller operators, right? We've got more resources.

We've got more people looking at it. We've got a team. But I do think every once in a while, you see these moments, and I think now is one of those, is that if you really know what you're doing, and you do good fundamental analysis, and you've got a stomach that can handle periods of underperformance or even periods of sharp drawdowns while the market's going up,

I think you can take tremendous, I think there's tremendous opportunity out there.

And we're going to be in those places too. We just have to manage of all. You know, it's kind of like the gold pullback. What would I like to be doing? And we have. I think we started adding to some positions. We hedged up. We took some really good, we took some significant profits. Well, we took profits, although we've taken profits the whole way up on this ride. But we took some more at around, I want to say 5,300. And then for a couple reasons, we put some hedges on at 5,200. We didn't really start adding, I don't think we added to any

positions until we got lower than 43. So between here and 4,300, we've added to some. But, you know, I'd like to add more. People like, well, gold could go to 3,500. And I'm like, yeah, I know, I think it could too. I'm like, we're going to wait till then. I'm like, well, it gets there, we'll buy more too. Now, obviously that's subject change. I mean, things could change and things could make me not like gold as much or it's hard to see a scenario where I don't like gold as a main part of the portfolio going forward.

But, you know, realities can change. The other thing is, it looks to me like

oil's headed higher, certainly should be. So if it does that, based on recent correlations, I think the assumption probably has to be that it'll probably drive gold miners down. So that should deliver another opportunity for you. And, you know, we've talked about volatility a lot.

I don't even, I think you can use it as a hedge part-time and all that kind of stuff. Again, if I was doing what, if I was running my own money, running a hedge fund, going back to that kind of analogy, I don't think I'd own any of all. Again, I would not be hedged against volatility. I would see it as my gift or at least like the wrapping paper of the gift, right? Like I would accept that volatility. I would accept moments, you know, periods of underperformance. Why? Just because I think the value proposition on the other side

is so great, especially on a relative value basis. And that extrapolates out to international stocks, right? If you missed a lot of that international run that we've had this year, again, I sound like a broken record, but be looking at that right now. Dollar's gone up. Those things have come in. I don't think that's, again, just go look at relative valuations around the world. I don't think that's a speculative thing to say that you think there's going to be outperformance there. And I certainly think, you know, that the dollar is not in a new bull trend.

I see a lot of things out there. I don't see a lot of things that suggest to me that this is the dollar really starting to make its push higher, right? That we're going to 110 on the Dixie. Now, like anything can happen. Obviously, in a world where oil finished, you know, that oil went lower than it was prior after burning a billion and a half barrels and the straight being closed. If you do not now believe that kind of old guy axiom of anything can happen,

I mean, I've just seen anything, right? I've seen it too many times. So, anyway, but that, so I would just sit there and go, look, if you're managing your own money, now this is, my clients don't need to be freaked out. We're going to continue managing volatility. We're not going to be having 40, 50% swings. But if you are without home gamer, if you are somebody running your own money, the axiom that I would put at the top of my

computer right now is no pain, no gain. If I'm not dealing with periods of sharp drawdowns and periods of underperformance,

I'm probably not doing it right. And there's, I just think there's times where you've got to ignore, well, most of the time, you got to ignore the noise and buy the value. And if you've got the stomach for it, I don't think there's ever been a period, I haven't seen a period where, again, on a relative basis where there's that many of those opportunities out there. So anyway, that does it for me today. I got to get rolling. As always, you can visit Chase and I on social media on X. I'm at KYR Radio. Chase is at Pinecone Macro. Get the video feed for the podcast.

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